As for retirement, the impacts are even bigger as sequence risk further amplifies the impact of investment volatility. Retirees experience heightened sequence-of-returns risk when funding a constant spending stream from a volatile portfolio. While you may not be withdrawing more money, as your portfolio declines, your withdrawals become a larger percentage of your remaining assets. This digs a hole for your portfolio that can be difficult to emerge from. The distribution of internal rates of return during retirement will be even wider because of the heightened importance placed on the shorter sequence of postretirement returns. A conservative retiree seeking a return assumption for retirement should use a lower value than for preretirement.

Not only does sequence risk widen the distribution of outcomes in retirement, but retirees also experience less risk capacity. With less time and flexibility to make adjustments to their financial plans, retirees who experience portfolio losses after leaving the workforce can experience a devastating impact on remaining lifetime living standards.

This is another reason why individuals may want to use different return assumptions pre- and postretirement. For example, a conservative individual might be willing to use the twenty-fifth-percentile return during accumulation (calibrated to a 75 percent chance for success) but only the tenth percentile during retirement (90 percent chance). If the individual were comfortable with the arithmetic real return and volatility of 5.6 percent and 10.7 percent, this would suggest using a 3.7 percent compounded real return assumption in the spreadsheet for accumulation and a 2.1 percent compounded real return assumption in the spreadsheet for retirement, even though the “best guess” about the ongoing compounding return the retiree will experience is 5.1 percent.

Because of sequence-of-returns risk, conservative investors will want to use lower fixed-return assumptions than just the compounded return assumed for a lump-sum investment. Sequence-of-returns risk is relevant for both the accumulation and retirement phases. Assumed returns should be lower in both cases. The impact is even greater for retirement. Conservative individuals will not want to use the “expected return” for their portfolios when developing lifetime financial plans. This is a really important point to